

When you sell stocks and make withdrawals from tax-exempt accounts (e.g. a Roth IRA), you will not have to pay any taxes as long as you meet the account type and withdrawal age requirements.

It's very difficult to predict what future tax rates will be, and there is the possibility that they could be higher or lower than present-day rates. If you think your future tax bracket will be lower than what you currently pay, you could benefit from a lower future tax rate by having a traditional IRA. However, if you think your tax bracket will be higher than what it is now, a Roth IRA might be best since you would have already paid taxes on your contributions and therefore wouldn't have to pay income tax on your disbursements in retirement.

That being said, it's not uncommon to have both types of IRA accounts (a traditional IRA and a Roth IRA). If you qualify for both a traditional and a Roth IRA, you'll be able to save more by leveraging the benefits of both of these retirement plans over the long term. By design, once you reach age 59½, you are allowed to begin making withdrawals from your retirement accounts without penalties. You just want to make sure you are aware of the qualification requirements put in place by the IRS, which you can learn more about at [irs.gov](https://www.irs.gov).

## TAX LOSSES

On the flipside of paying taxes on your investment earnings is the ability to offset and deduct taxes from any investment losses you experience. Capital losses are defined as losses that occur as a result of an investment decreasing in value between when you purchased it and when you sold it. These types of losses may be applied toward a capital gains tax obligation to minimize what you might owe. This is also known as tax-loss harvesting and can be enabled automatically with many robo-advisors or done on your own if you are a more experienced investor. However, when it comes to taxes, if your tax situation is complex, confusing, or you are unsure, I strongly recommend seeking professional guidance.